

South Korea Calibrated Company Size Thresholds for Six Logistics Product Groups

Executive summary

This report proposes a simple, Korea-calibrated three-tier size classification for six logistics product groups: **Fresh_Food, FMCG_Packaged, Pharmaceuticals, Industrial_Materials, Durables_Electronics, and Ecommerce_Misc**. The classification uses **annual revenue as the primary criterion** and **employee count only as a secondary guardrail**. That choice is deliberate: Korea's current legal SME framework already relies mainly on **industry-specific three-year average sales**, and since 2015 the formal legal test has shifted away from mixed employee/capital rules toward a sales-based standard. Korea's official size system is organized by **industry codes**, not by logistics product-flow groups, so this report maps each product group to the closest Korean legal and statistical anchors and then adjusts for logistics realities such as cold chain, regulatory intensity, bulk density, SKU velocity, and outsourcing prevalence. [1]

The proposed **large-company thresholds** rise in the following order: **Fresh_Food KRW 0.8tn, Pharmaceuticals KRW 1.2tn, FMCG_Packaged KRW 1.5tn, Industrial_Materials KRW 2.0tn, Durables_Electronics KRW 2.5tn, and Ecommerce_Misc KRW 3.0tn**. The logic is operational rather than legal. Fresh food becomes "large" at a lower revenue level because cold-chain coordination, spoilage risk, and seasonal peaks create national-network complexity early. Pharmaceuticals also scale into "large" status relatively early because MFDS storage-and-transport controls, especially for biologics, impose compliance and temperature-control burdens beyond what revenue alone suggests. By contrast, industrial materials have lower SKU complexity and repetitive B2B flows, while e-commerce firms can postpone owned-infrastructure intensity through 3PL, parcel, and fulfillment outsourcing, so their "large" threshold should start later. [2]

For researchers, the main recommendation is straightforward: **use revenue first, then employee count only when revenue is unavailable or distorted by pass-through trading**. For Korean comparability, the revenue bands below are expressed in **KRW first** and translated into **USD only for convenience**. They are intended as a **research classification for logistics scale**, not as a substitute for Korean statutory SME or conglomerate definitions. Korea's official context remains important: MSME/SME status is tied to industry-specific average sales and independence rules, and firms with total assets below **KRW 500bn** may still fail SME tests if they belong to a **public disclosure business group**, a regime that in practice captures much larger conglomerate structures. [3]

Method and assumptions

The methodology starts from Korean official size anchors and then applies product-specific logistics adjustments:

- **Official legal anchors:** closest MSS sector ceilings were used where they are clearly observable in Korean policy materials, including **C10 food manufacturing KRW 120bn**, **C21 pharmaceuticals KRW 80bn**, **C24 primary metals KRW 180bn**, and **C26 electronics KRW 150bn**. These are legal SME context markers, not the final thresholds used in this report. [4]
- **Statistical anchors:** Statistics Korea online-shopping data, MAFRA cold-chain policy materials, MFDS distribution/storage guidance, MOTIE export releases, and KOTI logistics research were used to calibrate where logistics complexity meaningfully changes by product group. [5]
- **Currency assumption:** all USD equivalents use a fixed research conversion of **KRW 1,350 = USD 1**. This is a reporting convention for comparability, not a live FX forecast.
- **Revenue basis assumption:** unless noted otherwise, example companies use the **latest public full-year figure available**, usually **FY2025**, and usually on a **consolidated basis** when that is how the company reported it.
- **Segment assumption:** if a company does not disclose a clean product-group segment, it is used only when the firm is widely representative of that logistics profile.
- **Private-company assumption:** where no clean primary filing snippet was readily parseable, I used a company newsroom item or a Korean financial/employment database summarizing filed statements; those cases are noted implicitly by the source.

Because Korea's legal framework is already sales-based, the employee thresholds below are best understood as **secondary operational guardrails** rather than legal tests. When revenue and employee count disagree, **revenue should govern**. [6]

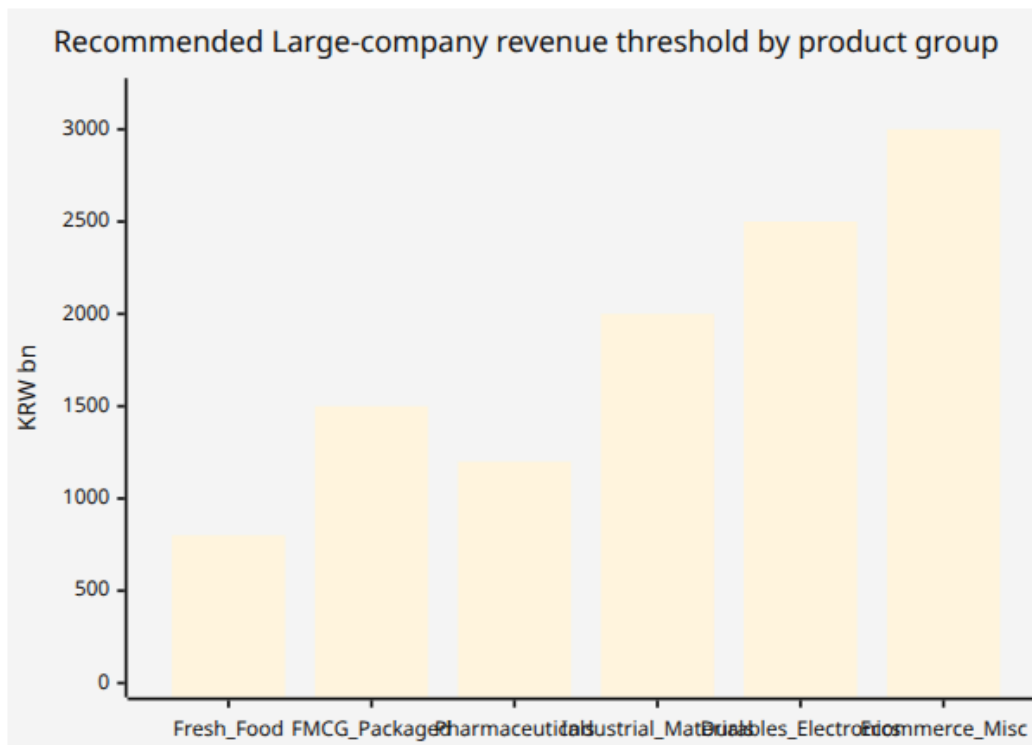
Comparative thresholds

The table below is the recommended classification for Korean logistics research.

Product group	Small	Mid	Large	Secondary employee guide
Fresh_Food	< KRW 80bn (< USD 59m)	KRW 80bn–800bn (USD 59m–593m)	≥ KRW 800bn (≥ USD 593m)	<150 / 150–1,000 / ≥1,000
FMCG_Packaged	< KRW 120bn (< USD 89m)	KRW 120bn–1.5tn (USD 89m–1.11bn)	≥ KRW 1.5tn (≥ USD 1.11bn)	<200 / 200–1,500 / ≥1,500
Pharmaceuticals	< KRW 120bn (< USD 89m)	KRW 120bn–1.2tn (USD 89m–889m)	≥ KRW 1.2tn (≥ USD 889m)	<200 / 200–1,500 / ≥1,500

Product group	Small	Mid	Large	Secondary employee guide
Industrial_Materials	< KRW 150bn (< USD 111m)	KRW 150bn–2.0tn (USD 111m–1.48bn)	≥ KRW 2.0tn (≥ USD 1.48bn)	<200 / 200–2,000 / ≥2,000
Durables_Electronics	< KRW 250bn (< USD 185m)	KRW 250bn–2.5tn (USD 185m–1.85bn)	≥ KRW 2.5tn (≥ USD 1.85bn)	<250 / 250–2,500 / ≥2,500
Ecommerce_Misc	< KRW 100bn (< USD 74m)	KRW 100bn–3.0tn (USD 74m–2.22bn)	≥ KRW 3.0tn (≥ USD 2.22bn)	<150 / 150–3,000 / ≥3,000

These bands are a synthesis of Korean official size anchors and logistics-specific evidence. The most important legal sector anchors are MSS’s sales ceilings for **food manufacturing, pharmaceuticals, primary metals, and electronics**, while the most important demand/operations anchors are **Kostat’s very large and still-growing online-shopping market, MAFRA’s continuing emphasis on low-temperature distribution for fresh foods, MFDS biologics transport controls, MOTIE’s large ICT export base, and KOTI’s evidence that 3PL expansion can materially change how firms scale logistics capacity.** [\[7\]](#)



Product-group thresholds and representative Korean examples

Fresh_Food — **Small < KRW 80bn, Mid KRW 80bn–800bn, Large ≥ KRW 800bn.** This is the lowest “large” threshold in the framework because the Korean fresh-food chain is unusually sensitive to **seasonality, spoilage, and temperature control**. MAFRA continues to treat low-temperature distribution as a policy priority for fresh agricultural products, and Statistics Korea shows ongoing strength in online agricultural/fishery purchases, which adds order-splitting and next-day cold-chain pressure. Representative examples are **Woodeumji Farm** as small at roughly **KRW 63.7bn** of 2025 sales, **Sajo Seafood** as mid at **KRW 217.4bn**, and **CJ Freshway** as large at **KRW 3.481tn**. [8]

FMCG_Packaged — **Small < KRW 120bn, Mid KRW 120bn–1.5tn, Large ≥ KRW 1.5tn.** The small cutoff is anchored to the Korean legal context for food manufacturing, while the higher large cutoff reflects the fact that packaged FMCG is usually **ambient, shelf-stable, and more compatible with wholesaler and 3PL distribution** than fresh food. Korea’s online food categories are still growing, but packaged FMCG does not require the same universal cold-chain intensity as Fresh_Food, so firms can scale further before their logistics footprint becomes structurally “large.” Representative examples are **Foodnamoo** as small at **KRW 86.8bn** in 2025 sales, **Binggrae** as mid at **KRW 1.4896tn**, and **Orion** as large at **KRW 3.3324tn**. [9]

Pharmaceuticals — Small < KRW 120bn, Mid KRW 120bn–1.2tn, Large ≥ KRW 1.2tn.

Korean pharmaceuticals deserve a lower large cutoff than industrial materials or electronics even though average volumes are not bulk-heavy, because **regulatory intensity is much higher**. MFDS guidance for biologics explicitly emphasizes storage and transport control, and Korea’s official SME ceiling for **C21 pharmaceuticals is already lower than food or electronics**. Add to that the export growth of Korean bio-health products and the category becomes logistics-intensive at a relatively modest revenue level. Representative examples are **CMG Pharmaceutical** as small at **KRW 105.2bn**, **Dong-A ST** as mid at **KRW 745.1bn**, and **Celltrion** as large at **KRW 4.1625tn**. [10]

Industrial_Materials — Small < KRW 150bn, Mid KRW 150bn–2.0tn, Large ≥ KRW 2.0tn.

This group gets a higher large threshold because operational complexity here comes more from **tonnage, plant-warehouse-port coordination, and bulk transport economics** than from dense SKU management. Korean official SME ceilings for primary metals are high, and MOTIE continues to report meaningful steel-export volumes, which is consistent with a sector where firms can remain operationally mid-sized even at fairly high revenues if flows are repetitive and B2B-direct. Representative examples are **Daedong Steel** as small at **KRW 119.2bn**, **Hanil Cement** as mid at **KRW 1.4239tn**, and **Korea Zinc** as large at **KRW 16.5879tn**. [11]

Durables_Electronics — Small < KRW 250bn, Mid KRW 250bn–2.5tn, Large ≥ KRW 2.5tn.

I set a relatively high large cutoff because Korean electronics logistics is heavily shaped by **global sourcing, export orientation, service-parts networks, and reverse logistics**, but not by the very high order-line fragmentation seen in e-commerce. MOTIE’s ICT export data show how internationally scaled this Korean ecosystem is, and MSS’s C26 legal ceiling is already relatively high. Representative examples are **Anam Electronics** as small at **KRW 215.3bn**, **Cuckoo Homesys** as mid at roughly **KRW 0.8tn**, and **LG Electronics** as large at **KRW 89.2tn** in 2025 sales. [12]

Ecommerce_Misc — Small < KRW 100bn, Mid KRW 100bn–3.0tn, Large ≥ KRW 3.0tn.

Korea’s online-shopping market is already extremely large on a national basis, with monthly transaction values above **KRW 22tn–24tn** and mobile accounting for around **77%**. Yet I push the large threshold above packaged FMCG because many Korean e-commerce firms can scale sales through **parcel networks, contracted fulfillment, and 3PL** rather than owned infrastructure. KOTI explicitly notes that 3PL expansion can be a way to reduce logistics costs as e-commerce grows. Representative examples are **09WOMEN / Gongguwoman** as small at about **KRW 45.0bn** in 2025 sales, **Musinsa** as mid at approximately **KRW 1.47tn** in 2025 revenue by inference from official 2024 revenue plus its official 2025 sales growth rate, and **Coupang** as large at **USD 34.5bn** of 2025 revenue, equivalent to roughly **KRW 46.6tn** under the report’s FX assumption. [13]

Why the thresholds differ by sector

The thresholds are not meant to mirror Korean subsidy law; they are meant to capture the point at which a Korean company’s logistics system usually moves from **regional or**

outsourced coordination into **national, compliance-heavy, multi-node management**. That transition happens earliest in **Fresh_Food** because temperature excursions, delivery timing, and quality loss are immediate commercial risks, and it happens early in **Pharmaceuticals** because MFDS-controlled storage and transport requirements add process overhead beyond normal warehousing. [14]

The transition happens later in **FMCG_Packaged** because firms can deploy broader distributor and wholesaler networks without universal cold chain, and later still in **Industrial_Materials** because low-SKU, repetitive B2B flows make large tonnage manageable without the same order-level orchestration. In **Durables_Electronics**, the key complexity is less about SKU velocity than about import content, export routing, warranty parts, and service loops. Korea's export data for ICT and steel help explain why the industrial-materials and electronics cutoffs should sit well above fresh food and pharma. [15]

Ecommerce_Misc is the most structurally ambiguous group. Its order-line density, return rates, and promotional volatility are logistics-intensive, but Korea's e-commerce market also supports heavy use of outsourced fulfillment and parcel infrastructure. That is why the **mid** range is intentionally wide here and why the revenue threshold for "large" starts only when firms are clearly operating at a **multi-trillion won, national-platform** scale. [16]

Open questions and limitations

This framework is rigorous enough for comparative research, but it has three limits. First, **Fresh_Food** and **Ecommerce_Misc** are not official Korean legal industries; they are product-flow groupings mapped onto the closest official anchors, so some judgment is unavoidable. Second, a few smaller-company examples rely on **summaries of filings** or business databases where a clean primary-source snippet was not readily parseable; I have flagged those implicitly through the cited source type. Third, the thresholds are calibrated to **South Korea in the 2025–2026 operating context**, so they should be re-checked if Korean inflation, parcel pricing, cold-chain regulation, or e-commerce fulfillment structure changes materially. [17]

[1] [3] [4] [6] [7] [9] [17]

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[2] [8] [14]

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[5] [13] [16]

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[10]

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